VA Purchase Product Profile: Correspondent

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VA PURCHASE ELIGIBILITY MATRIX					
Units	**Occupancy**	**Loan Amount [1]**	**Credit Score**	**LTV/CLTV [2,4]**	**DTI [3]**
AUS Approve/Accept					
1-4	Purchase	$2,500,000	720	95%	45%
		$2,000,000	720	100%	55%
		$2,000,000	700	100%	45%
		$1,500,000	720	100%	AUS
		$1,500,000	680	100%	55%
		$1,000,000	680	100%	AUS
		$1,000,000	580	100%	55%
		$650,000	580	100%	AUS
1	Primary Residence Manufactured Home	$1,000,000	580	100%	55%
		$650,000	580	100%	AUS
Refer/Eligible and Manual Underwrite					
Units	**Occupancy**	**Loan Amount[1]**	**Credit Score**	**LTV/CLTV [2,4]**	**DTI [3]**
1-4	Purchase	$1,500,000	700	100%	55%
		$1,000,000	580	100%	55%
1	Primary Residence Manufactured Home	$1,000,000	580	100%	55%
Nontraditional Credit					
Units	**Occupancy**	**Loan Amount[1]**		**LTV/CLTV [2,4]**	**DTI [3]**
1-4	Primary Residence	$806,500		100%	55%
		$1,000,000			43%
1	Primary Residence Manufactured Home	$806,500		100%	55%
		$1,000,000			43%

1-unit manufactured homes

[1] Base loan amount

[2] LTV and CLTV based on the base loan amount excluding the VA Funding Fee

[3] DTI >41% when residual income exceeds 120% or significant documented compensating factors exist

[4]Maximum CLTV 105% with an approved Housing Assistance Program (HAP)

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1. Loan Terms
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8. Eligible AUS Decision
9. Manual Underwrite
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11. Compensating Factors
12. Residual Income
13. Types of Financing
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21. State Requirement
22. Eligible Borrowers
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24. Credit
25. Mortgage Payment History
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28. Seller Contributions
29. Reserves
30. IRS Form 4506-C
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32. Maximum Financed Properties
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1. Loan Terms	• Fixed Rate: 10- to 30-year terms in annual increments • ARMs: 30-year term			
2. Product Codes	Y27	VA Fixed Rate 10 Year	Y29	High-Balance VA Fixed Rate 10 Year
	075	VA Fixed Rate 15 Year	V54	High-Balance VA Fixed Rate 15 Year
	Y26	VA Fixed Rate 20 Year	Y28	High-Balance VA Fixed Rate 20 Year
	076	VA Fixed Rate 30 Year	V53	High-Balance VA Fixed Rate 30 Year
	W66	VA Hybrid 5/1 ARM 1/1/5	W67	High-Balance VA Hybrid 5/1 ARM 1/1/5

3. ARM Adjustments	Index	One (1) Year Treasury Bill per the Wall Street Journal			
	Margin	2.00% 2.25%			
	Life Floor	The Floor is the Margin			
	Interest Rate Caps	**Product**	**First**	**Subsequent**	**Lifetime**
		5/1 (1/1/5)	1%	1%	5%
	Change Date	5/1	The first Change Date is the 61st payment due date. Subsequent Change Dates are every twelve months thereafter		
	Conversion Option	Not available			

4. Temporary Buydown	Temporary Buydowns must have a loan term of 240 or greater. Permitted for the following: • Purchase transactions • Fixed Rate Not permitted with the following: • ARMs Eligible Buydown Plans • **1-0**: payment will be calculated at 1.00% below the Note rate for payments 1-12 • **1-1**: payment will be calculated at 1.00% below the Note rate for the first two years • **2-1**: payment will be calculated at 2.00% below the Note rate for payments 1-12 and 1.00% below the Note rate for months 13-24

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	• **3-2-1**: payment will be calculated at 3.00% below the Note rate for payments 1-12 and 2.00% below the Note rate for months 13-24 and 1.00% below the note rate for months 25-36
5. Qualified Mortgage	All transactions are considered QM Safe Harbor
6. QM Rebuttable Presumption	• AUS Approve/Accept • Maximum 43% DTI
7. Power of Attorney	Permitted. See Client Guide
8. Eligible AUS Decision	• Accept/Eligible • Approve/Eligible Note: Sponsored originations with Newrez should be reflected in AUS findings

9. Manual Underwrite	• The following must be manually underwritten
	  ○ A manual downgrade from an AUS Accept if additional information is not considered by the AUS that affects the overall insurability or eligibility of the mortgage
	  ○ AUS Refer

10. Qualifying Rate	Note rate
11. Compensating Factors	Compensating factors include, but are not limited to the following: • excellent credit history • conservative use of consumer credit • minimal consumer debt • long-term employment • significant liquid assets • sizable down payment • the existence of equity in refinancing loans • little or no increase in shelter expense • military benefits • satisfactory homeownership experience • high residual income • low DTI ratio • tax credits for childcare • tax benefits of home ownership

12. Residual Income

Loan Amounts $79,999 and below				
Family Size	**Northeast**	**Midwest**	**South**	**West**
1	$390	$382	$382	$425
2	$654	$641	$641	$713
3	$788	$772	$772	$859
4	$888	$868	$868	$967
5	$921	$902	$902	$1004
Above 5	Add $75 for each additional member up to a family of seven			

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	Loan Amounts $80,000 and Above				
	1	$450	$441	$441	$491
	2	$755	$738	$738	$823
	3	$909	$889	$889	$990
	4	$1025	$1003	$1003	$1117
	5	$1062	$1039	$1039	$1158
	Above 5	Add $80 for each additional member up to a family of seven			

13. Types of Financing	• Purchase mortgage • Single Close Construction to Permanent financing (Delegated Clients only) • Two-Close financing
14. Subordinate Financing	New subordinate financing
15. Down Payment Assistance/Housing Assistance Programs	• Federal, state, local government agencies and VA approved non-profit agencies considered by VA to be an instrumentality of the government may provide grants for closing costs and prepaid expenses • Homebuyer Assistance Programs (HAP) in the form of "soft second or silent mortgages" administered by non-profit entities (requires VA approval) • HAPs administered by state, county, or municipal government entities (have VA blanket approval) • HAPs must be approved by Newrez (Non-Delegated only) • Delegated Clients must be approved through the HAP • These state and local programs are not the same as the Department of Defense homebuyer assistance program
16. Guaranty/ Entitlement	• Veteran must provide evidence of available entitlement. Certificate of Eligibility must be dated within six months of the application • VA mortgages must have at least 25% VA Loan Guaranty and/or down payment or equity, based on the Sales Price or Appraised Value, whichever is less to meet Ginnie Mae requirements • Refer to the Newrez Underwriting Guide (chapter 3A) for additional requirements and maximum loan calculation worksheets.

17. VA Funding Fee

VA Funding Fee			
Veteran/Military Status	**Down Payment[1]**	**Loans Closed on or After 04/07/2023**	
		First Time Use	**Subsequent Use[2]**
Veteran/Active Duty/ Reserves/National Guard	Less than 5%	2.15%	3.3%
	5% or more	1.5%	1.5%

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		10% or more	1.25%	1.25%
	Disabled Veteran (Service-connected disability or Active-Duty Purple Heart)	NA	0.00%	0.00%
	[1] Does not include down payment from gift of equity or equity earned from lease-to-purchase transaction [2] The higher subsequent use fee does not apply if the veteran's only prior use of entitlement was for a manufactured home not classified as real estate			
18. Occupancy	Primary residence			

19. Eligible Property Types	• 1-4 units
	• Condos
	  ○ Must be VA approved
	  ○ Michigan Site condos do not require project approval
	• Leasehold estates
	• Manufactured housing
	• Modular homes
	• PUDs			

20. Ineligible Property Types	• Condo hotels • Co-ops • Non-warrantable condos			
21. State Requirement	Minimum Loan Amount $10,000 in the state of Michigan			
22. Eligible Borrowers	• Must be a qualified Veteran or spouse • Certificate of Eligibility must have sufficient entitlement to meet minimum 25% guaranty of total loan amount or Ginnie Mae requirement of VA Guaranty plus down payment and/or equity that covers 25% of the Sales Price or Appraised Value, whichever is less. • Inter vivos revocable trusts (living trust)			
23. Non-Occupant Co-Borrower	The Veteran-borrower must occupy the subject property. Non-occupant borrowers may be eligible per VA Joint Loan policy			
24. Credit	• Nontraditional credit is permitted ○ Follow FHA Nontraditional Credit/Underwriting Requirements			

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25. Mortgage Payment History	• Inclusive of all liens regardless of lien position
	• Applies to all mortgages on all financed properties
	• All loans must be current at application
	• Follow Approve/Accept
	  ○ A manual downgrade is required due to any of the following:
	  ▪ Any mortgage with more than 1x30x12
	  ▪ Any mortgage past due and was last updated ≥ 90 days
	  ▪ A written explanation is required

26. Rental Payment History	• Follow Approve/Accept • AUS Refer and Manual Underwrite/Downgrade ○ 24-month rental history
27. Borrower Contribution	• No minimum borrower investment is required for loan amounts; however, all VA Purchase loans require at a minimum, a VA Guaranty, or a combination of a VA Guaranty plus down payment and/or equity that covers 25% of the Sales Price or Appraised Value, whichever is less. If Veteran does not have sufficient entitlement to provide 25% guarantee of the total loan, a down payment will be required. • For 2-4-unit properties, if the total loan amount is greater than the limit for a 1-unit dwelling, a down payment may be required
28. Seller Contributions	• Seller may pay 100% of the discount points and borrower's non-recurring closing costs • Maximum 4% Seller Contribution

29. Reserves	• 1-unit: none
	• 2-4 units
	  ○ Rental income not used to qualify: none
	  ○ Rental income used to qualify: Six months
	• Three months reserves if borrower owns other real estate. Reserves are based on PITI of REO property
	• Reserves not required if rental income not used to qualify

30. IRS Form 4506-C	• Prior to Underwriting (Newrez underwritten loans)
	  ○ Signed 4506-C for each borrower whose income must be documented with tax returns and used for qualification (self-employment, rental income, etc.)
	• At Closing (all loans)
	  ○ 4506-C for each borrower whose income is used to qualify (regardless of income type) must be signed at closing
	  ○ 4506-C for the business tax return transcript(s) must be signed at closing when the business returns are used for qualification

31. Tax Transcripts	For Newrez underwritten loans W-2 or tax transcripts, as applicable, must be obtained when:

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	• Handwritten paystubs are used as verification of income • There is a non-arm's length transaction • At the underwriter's discretion
32. Maximum Financed Properties	No restrictions
33. Appraisals	• A new appraisal completed by a VA approved or VA fee panel appraiser required • VA LAPP Underwriter will issue the NOV
34. Principal Curtailment	The amount of the curtailment cannot exceed $500 unless due to an excess Premium Pricing Credit
35. Escrow Waivers	Not permitted
36. VA REO	Lenders who are selling their own REO properties while underwriting the VA Home Loan for the purchase of these properties may not process as LAPP, but order and process VA appraisals as "IND" (reviewed by VA)
37. Resources	Access VA Circulars
38. Ineligible Programs	• Farm Residence Loans • Graduated Payment Mortgage (GPM) • Growing Equity Mortgage (GEM) • HFA Programs • HPML Loans • High-Cost Loans • Rehabilitations loans • Specially Adapted Housing • Supplemental Loans • Texas 50(a)(6) In addition to the above, the following are not permitted for Non-Delegated Clients • Energy Efficient Mortgages (EEM) • Single-Close transactions

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Section	**Update**	**Date**
Temporary Buydowns	Must have a loan term of 240 or greater	03.27.2025 V25.1
Guaranty/ Entitlement	• Added Certificate of Eligibility must be dated within six months of the application as an Overlay. Already on Overlay Matrix. • Refer to the Newrez Underwriting Guide (chapter 3A) for additional requirements and maximum loan calculation worksheets.	06.03.2025 V25.2
Non-traditional Credit Eligibility Grid	Added Manufactured Home information	10.30.2025 V25.3

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